PRESS RELEASE

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On the Refinancing Rate as of December 24, 2013

The CBA Board Meeting of December 22, 2015 attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Vaghtang Abrahamyan.

The Board Meeting opened with presentation of Situation Report as of December 24, 2013. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.9% inflation in November of 2013 against 1.4% inflation registered for the same period of the previous year, in which circumstance the 12-month inflation rate continued to decline to 6.6% at the end of the month. The November's inflation was totally due a 1.6% increase in prices of food products, with prices of the group "Vegetable and potato" risen by 22%. In November, core inflation rate was about 0.1%, with a 12-month indicator having dropped to 4.5% at the end of the month. The Board expressed certainty that in the upcoming months the inflation will subdue faster than anticipated and will approach the upper part of the confidence band.

In the third quarter of 2013, the slowdown in economic growth continued, with the past nine months' economic growth making up 2.6% against that of 3.5% recorded in the first half of the year. In the period January-November 2013, the economic activity indicator has grown to make up 3.1% compared to the same period of the previous year, which incurred the slowing of growth rate in output of services (mainly trade) and the decline in construction sector. According to the Central Bank estimates, trends in slowing of private consumption growth rate and slower-than-anticipated pace of recovering private investment were further observable over the fourth quarter of 2013. Under these conditions, the year is expected to end with a 2.3% y/y growth in private consumption and a -7.6% y/y growth in private investment. Taking into account the impact the expansionary fiscal policy will have on domestic demand in 2014, some acceleration of economic growth rates is expected owing to the continuity of programs in industry and agriculture, as well as the major road construction projects that are underway.

According to the past 11 months' results, the current account of balance of payments has improved thanks to the rapid growth of real export volumes over those of import and strong growth rates in private transfers. Thus, in January-November 2013, export (trade statistics: FOB) has increased by 8.4% and import (trade statistics: CIF) by 4.2% in comparison with the same reference period last year. In the meanwhile, net inflow of non-commercial transfers by individuals has grown by 9.5% y/y.

The Board reflected on the developments in the financial market. In the period November-December interest rates followed mainly a downward path, incurring the impact of the 0.5 pp cut of the refinancing rate by the Central Bank in November. The average monthly repo rate of the Central Bank has been 8.17% as of December 16th (reduction: by 0.6 pp relative to end-October); in the primary market the average interest rate of treasury bills with up to 1-year of maturity amounted to 8.25% (reduction: by 0.7 pp) and the average interbank loan interest rate reached 7.3% (reduction: by 1.2 pp).

In the domestic foreign exchange market in the period November-December, the Armenian dram exchange rate versus other currencies has been relatively stable: compared to the October average, it has appreciated against the U.S. dollar by 0.2% to AMD 405.3, depreciated versus the Euro by 0.1% to AMD 554.4 and appreciated versus the Russian ruble by 2.9% to AMD 12.3.

In the fourth quarter of 2013, global economic growth rates remained sluggish, and weak deflationary patterns in basic commodity markets and inflationary patterns in food product markets of the world were observable. The FAO's Food Price Index of December 5, 2013 came out with 0.15% drop in November against the previous month's index (with a 4.4% reduction compared to the same period of the previous year).

According to the Central Bank estimates, average price of "Brent" crude oil, as quoted at Intercontinental Exchange, fell by 1.6% in the fourth quarter against the previous quarter (with 1.9% reduction y/y). At London Metal Exchange, the copper price grew by 0.8% q/q (with 9.5% reduction y/y). According to the U.S. Department of Agriculture data, the export price of Hard Red Wheat rose by about 4.0% q/q (with 10.6% decrease y/y), and the price of Rough Sugar at the New York Board-Intercontinental Exchange (NYB-ICE) increased by 5.1% q/q (with 12.4%

reduction y/y). Pursuant to the discussion, the Board assessed that there are no risks to expanding inflation from the external sector in the near term.

Appreciation of the Euro versus the U.S. dollar was 2.3% in the fourth quarter of 2013, with y/y growth having made up 4.4%.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

Developments in the external environment were in line with the forecast scenario: global economic growth continues recovering at a slow pace, and inflationary pressures in both commodity and food product markets of the world are not likely.

The Board estimates that notwithstanding an expansionary pace of the fiscal policy in the fourth quarter, economic growth rates remain sluggish driven by the investment behavior and the slowdown in private consumption growth rates. Considering the above mentioned developments in external and domestic economies, as well as in expectation of the inflation declining in the time ahead, the CBA Board finds it reasonable to continue loosening monetary conditions. At the same time, further directions of the Central Bank's monetary policy will also be determined by the specificity of the fiscal policy to be implemented in 2014.

The Board has a consensus that the 12-month inflation rate will keep on reducing in the light of expected economic developments and will return to its 4% target in the coming months. It will stabilize around the target in the forecast horizon.

At the December 24, 2013 meeting, the Board of the CBA decided to cut the Refinancing Rate by 0.25 pp to 7.75%. The Lombard Repo Facility Rate and Deposit Facility Rate were set at 9.25% and 6.25%, respectively.

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